Please check the examination details below before entering your candidate information

Candidate surname	Other names

Centre Number | Candidate Number

Pearson Edexcel International GCSE

Time 1 hour 15 minutes

Paper reference **4AC1/02**

Accounting

Level 1/2
PAPER 2: Financial Statements

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
  – *there may be more space than you need.*

Information

- The total mark for this paper is 50.
- The marks for **each** question are shown in brackets
  – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ▶

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Answer ALL questions. Write your answers in the spaces provided.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

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(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

(Total for Question 1 = 25 marks)

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2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	**30 September 2022 $**
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	**$**	**Payments**	**$**
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

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(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

TOTAL FOR PAPER = 50 MARKS

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